

Schizo entry model

1. High Time Frame Point of Interest (HTF POI)
 2. Market structure break (MSB)
 3. 0.5/0.618 fib retrace* or 0.75 loss/reclaim
- *depending on market conditions

The goal of the system is to provide a draw-down-less entry for a lower time frame (LTF) trade that can be held for a higher time frame swing if given. Profit is taken at the first area of LTF supply and stops moved to breakeven at this point as well. The system fundamentally is built for trend-reversal trading (buying bottoms, selling tops, range-bound trading, chop). Doesn't work well in very trending environments.

HTF POI

1. HTF POI's are areas of demand or supply on a higher time frame that can provide an opportunity for the price to react.

Image displays the basic concept of “support & resistance” and how/why its formed

Our HTF POI's are these areas, where we look for the price to reverse in a certain manner that provides asymmetric entry opportunities

Next page provides an example.





Once the HTF POI is hit, we are interested in the 1m chart and the market structure breaks, when/if they form, it's not straightforward to identify these. It's also not clear whether the previous sellers will step in as demand or the previous buyers will step in as demand, so we must pay attention throughout the POI and wait for the msb to form

MSB's

Market structure breaks are changes in LTF market structure that indicate that whatever aggressive selling was active has subsided and a higher high was formed, closing at least 1 entire 1m candle body entirely above the previous high (not a sweep)



In typical chop, we pull out the fib retracement tool and measure from the lowest low to the highest high on LTF.
Typically I look for confluences, but for this example we just place the order at the 0.618 fib.
In an ideal scenario the move into the level is swift and reacts fast, chances of continuation out of the level otherwise go down significantly.



Absolutely 0 drawdown entry, at the first area of supply, half of the position is usually trimmed, stops moved to breakeven of the entry. Typically reacting off this level in a swift manner like the example, either a lower high is put in at the box marked for tp1 + stops breakeven, or it continues to new highs, in both scenarios profit is made for the trader. Continuation can be taken far further than marked on the chart, I try to get really good entries which in themselves can serve as invalidations, so a hard stop breakeven soon after entry is the preferred risk management tool



Limitations

Picking the correct retracement (0.618 standard, 0.5 aggressive trending move, 0.75 deep chop)

Not getting any retracement - sometimes the market structure breaks without a retracement and I miss the entire move.

Contextual and confluent frontruns of the fib levels (explained further down the doc)

Crash straight through the fib levels - probability and first 15m management of the trade (explained further down the doc)



Context & Confluence

A lot of the time I apply several more factors in determining the entry levels based on ltf structure present, that might cause the levels to get frontrun or run much deeper than the level indicated by the fib, additionally, several orders at these key levels are sometimes utilized to ensure entry in an uncertain environment. Another example below, showing a good market structure break, a 0.5 retest - NOTE: the retest was not swift, it spent several minutes right on the 0.5 retest before price went up - this typically leads to a lower high (LH) and a deeper retest (0.618). Additional context are the previous resistance candles right around the 0.618 level, that can lead to a frontrun of the pico level. I utilize these factors when selecting the preferred entry.



The 0.618 level got frontran, the preferred entry based on previous resistance wicks provided a pico entry, the trade target was also the local top before another deep retrace.

